



NSF NATIONAL INNOVATION CONVENING 2026

SBIR/STTR, Commercialization & Innovation Acceleration

Selected Article Summaries & Bibliography

PRE-CONVENING READING HANDOUT

Purpose. These four readings offer complementary—and at times competing—perspectives on how federal small-business innovation programs can better move promising technologies from research and early validation to adoption, procurement, and commercial impact. Together, they raise questions central to the National Innovation Convening: how to reward outcomes, preserve experimentation, broaden participation, reduce friction, and strengthen the pathways that connect discovery to use.

As you read, consider: What should the federal innovation system optimize for—commercial sales, mission impact, technical learning, new-firm participation, follow-on investment, procurement transition, or some combination? Where are the most consequential bottlenecks, and which actors are best positioned to remove them?

The readings are summarized below to support discussion; participants are encouraged to consult the full articles for the authors' complete arguments and evidence.

1. Nurturing America's Seed Fund

Gail Cohen, Maryann P. Feldman, and Scott Stern | Issues in Science and Technology | Summer 2026

Cohen, Feldman, and Stern argue that SBIR/STTR should be understood as a mission-oriented innovation infrastructure rather than as a single-purpose commercialization program. Drawing on National Academies evaluations across DOE, NIH, NSF, and DOD, they conclude that the programs generate meaningful innovation and transition outcomes, but that success looks different across agency missions. The authors caution against uniform rules or a single performance metric and instead call for long-term program stability, stronger technology-transition pathways, reduced administrative bottlenecks, broader participation, and much better integrated data.

Key ideas for participants

- Agency context matters: commercialization can mean FDA progress at NIH, private-capital attraction at NSF, energy-technology deployment at DOE, or integration into defense systems at DOD.
- Multiple-award firms should not automatically be treated as program failures; in some mission environments, repeated awards build specialized capabilities and institutional knowledge.
- The authors favor multifaceted evaluation that captures technical progress, mission value, follow-on funding, procurement, private investment, and other forms of transition.
- Priority reforms include permanence or greater funding stability, better Phase III/transition mechanisms, faster processes, inclusive outreach, and stronger data infrastructure.

NIC CONNECTION A national innovation roadmap may need to preserve mission-specific flexibility while creating shared measures of progress, stronger transition infrastructure, and better cross-agency learning.

2. Reauthorizing the Small Business Innovation Research Program Isn't Enough

Lars Erik Schönander | Issues in Science and Technology | Spring 2026

Schönander argues that reauthorization is necessary but insufficient because SBIR's larger challenge is the commercialization ecosystem surrounding the program. He highlights two concerns: long-term dependence by some "multiple award winners" that do not demonstrate sufficient commercialization, and the difficulty many technically promising firms face in scaling from feasibility to market or procurement. His proposed reforms seek both to open the

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program to new entrants and to strengthen the path across the “valley of death,” including experimental selection mechanisms, commercialization-readiness assessment, matched funding, gap funding, and stronger university research-translation systems.

Key ideas for participants

- Reform should address both incumbent dependence and barriers that discourage capable first-time applicants.
- Possible experiments include qualified-proposal lotteries and occasional “golden tickets” for high-risk, high-reward ideas that conventional consensus review may miss.
- Commercialization readiness should be assessed explicitly through market, regulatory, supply-chain, customer, and techno-economic evidence—not technical merit alone.
- Universities are critical to the pipeline; promotion incentives, complex licensing practices, and weak translation support can impede academic entrepreneurship.

NIC CONNECTION Innovation acceleration requires attention beyond the grant itself: selection, customer discovery, adoption readiness, gap funding, university technology transfer, procurement, and scale-up must operate as a connected system.

3. Ideas for Improving the SBIR Program

Forum response by Warren Katz, Chair, The Alliance for Commercial Technology in Government | Issues in Science and Technology | Summer 2026

This response takes a more prescriptive view of SBIR reform. Katz argues that the program should more clearly function as seed funding that helps firms commercialize and then graduate, rather than becoming a recurring source of operating revenue. He contends that persistent “SBIR mills” can crowd out newcomers and lock up intellectual property without sufficient market impact. To sharpen incentives toward commercialization, he recommends a lifetime funding cap, a smaller employee-size threshold, much heavier weighting of commercial viability in award decisions, and dedicated DOD procurement resources to help promising technologies reach end users.

Key ideas for participants

- The central performance test should be whether public R&D support leads toward products, services, customers, and non-SBIR revenue.
- Katz proposes restoring a \$75 million lifetime SBIR funding cap per company and reducing the employee eligibility threshold from 500 to 200.
- He recommends making commercial viability 50% of award criteria, evaluated by professionals with relevant commercialization expertise.
- He also calls for a standing DOD procurement-side budget to support end-user matches for the new Strategic Breakthrough production phase.

NIC CONNECTION This perspective pushes participants to ask when continued public R&D support is productive persistence and when it becomes dependency—and how the system can create clearer graduation and procurement pathways.

4. SBA Looks to Right-Size Small Business Rules...Again

Terry Gerton interview with Emily Murphy | Federal News Network | August 25, 2026

This interview examines the Small Business Administration’s proposed changes to federal small-business size standards and connects that debate to SBIR policy. Murphy describes the tension between simplifying eligibility rules, allowing firms room to grow, and protecting genuinely small firms from competition with much larger companies. On SBIR, she argues that the more useful question is not simply how many awards a company has received, but what those awards produced. She advocates stronger past-performance information that captures whether Phase I and II work advanced R&D, generated useful learning, and improved the prospects for transition and commercialization.

Key ideas for participants

- Eligibility design can unintentionally create either barriers to growth or competitive disadvantages for smaller firms.
- Simplifying size standards may reduce administrative complexity, but broad categories can group firms with very different economic characteristics.
- Repeated SBIR awards should be evaluated through results and progress rather than award counts alone.
- Better cross-agency sharing of SBIR past-performance and technical-learning information could improve future award decisions and Phase III commercialization.

NIC CONNECTION The interview reinforces a recurring NIC theme: policy design should reward demonstrable progress and learning while avoiding one-size-fits-all rules that distort competition or discourage growth.

Cross-Cutting Themes for NIC Discussion

Define success broadly—but clearly. The readings disagree on how strongly commercialization should dominate evaluation, but all emphasize the need to connect public R&D investments to meaningful outcomes.

Fix the transition system, not only the award system. Customer discovery, procurement, gap funding, regulatory pathways, private capital, licensing, and scale-up repeatedly emerge as decisive constraints.

Balance new entrants with experienced performers. Broadening participation is important, but experience can also create mission-relevant capability. Better performance data can help distinguish productive persistence from dependency.

Reduce friction while preserving rigor. Long proposals, slow reviews, complex contracting, size rules, and university licensing can deter innovators. Simplification should target real bottlenecks without lowering technical or mission standards.

Build a learning innovation system. Integrated data and cross-agency visibility can help policymakers and program managers understand what works, for whom, in which mission context, and why.

Selected Bibliography

Cohen, Gail, Maryann P. Feldman, and Scott Stern. “Nurturing America’s Seed Fund.” *Issues in Science and Technology* 42, no. 4 (Summer 2026): 30–35. doi:10.58875/FTCC3806.

Gerton, Terry. “SBA Looks to Right-Size Small Business Rules...Again.” Interview with Emily Murphy, Senior Fellow, George Mason University Baroni Center for Government Contracting. *Federal News Network*, August 25, 2026.

Katz, Warren. “Ideas for Improving the SBIR Program.” *Issues in Science and Technology* 42, no. 4 (Summer 2026). Forum discussion of “Reauthorizing the Small Business Innovation Research Program Isn’t Enough.”

Schönander, Lars Erik. “Reauthorizing the Small Business Innovation Research Program Isn’t Enough.” *Issues in Science and Technology* 42, no. 3 (Spring 2026): 99–102. doi:10.58875/DZWE5937.

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